NexaTel Customer Churn Analytics

Management Summary Report

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Confidential — Prepared for management review

1. Executive Summary

This analysis evaluates NexaTel's customer retention, churn patterns, service performance, revenue exposure, and retention campaign outcomes. The customer churn rate is 18.45%, while the retention rate is 81.55%. NexaTel generates approximately ■13.87 million in Monthly Recurring Revenue (MRR), while the estimated monthly revenue associated with churned customers is ■2.40 million. First Contact Resolution (FCR) is 70.22%, below the project target of greater than 78%, and average resolution time is 16.04 hours. Enterprise customers account for the highest number of churned customers among the segments examined, and customers with unresolved complaints show an increased churn-risk pattern. NexaTel should prioritize complaint resolution, protection of high-value customers, and improvements to support performance.

2. Top Three Findings

Finding 1: Customer churn creates a significant revenue-protection opportunity

NexaTel's churn rate is 18.45%, compared with a retention rate of 81.55%. Estimated revenue at risk from churned customers is ■2,404,571. Current MRR is ■13,868,137.

Business implication: Preventing avoidable churn, particularly among customers with higher monthly charges, could help protect NexaTel's revenue base. Revenue at risk is an estimate based on monthly charges associated with churned customers, not a guarantee of future revenue loss.

Finding 2: Customer support and unresolved complaints need attention

FCR is 70.22%, below the project target of greater than 78%. Average resolution time is 16.04 hours. The dashboard indicates that churn increases as unresolved complaints rise, reaching its highest observed level among customers with three unresolved complaints.

Business implication: Repeated or unresolved customer issues may increase dissatisfaction. Improving first-contact resolution and following up on outstanding complaints should be central to the retention strategy.

Finding 3: Churn and retention outcomes vary across customer groups

Enterprise customers account for the highest number of churned customers among the segments examined. Tenure analysis and ARPU distribution offer additional ways to examine churn patterns and identify valuable customer groups. The retention campaign analysis shows a retained share of 82.42%.

Business implication: NexaTel should use segment-specific retention actions. The campaign retained-share figure should be interpreted according to its measure definition and should not automatically be treated as proof that campaigns caused retention.

3. Risks Identified

Revenue risk Estimated revenue associated with churned customers is ■2.40 million. Continued churn may put pressure on recurring revenue and increase customer replacement costs.

Customer service risk FCR is below target and average resolution time is 16.04 hours. Unresolved or repeated support issues may harm customer satisfaction and retention.

Segment concentration risk Enterprise customers account for the largest number of churned customers by segment. NexaTel should check whether this reflects segment size, a higher churn rate, or both before allocating resources.

Measurement and monitoring risk Current KPI measures and historical billing trends represent different concepts and time periods. Historical MRR trends should not be confused with the current MRR KPI.

4. Opportunities to Protect Revenue and Improve Retention

Prioritize high-value customers at risk. Use the Top 10 At-Risk Customers analysis to identify active customers with unresolved complaints and active subscriptions, ordered by monthly charge. Contact them proactively and address their issues.

Resolve complaints before they escalate. Assign ownership for outstanding complaints, monitor progress, and prioritize customers with multiple unresolved complaints.

Improve customer support effectiveness. Aim to raise FCR above 78% and reduce resolution time where practical. Review recurring issues and equip support staff to resolve common problems during the first interaction.

Tailor retention by segment and tenure. Use segment and tenure patterns to identify where targeted communication, service improvements, or suitable retention offers may be most effective.

Evaluate retention campaign performance. Review campaign outcomes alongside subsequent customer status and revenue. Identify promising campaigns and reassess spending where needed.

5. Recommendations and Action Plan

Recommendation 1: Launch a high-value customer retention workflow

Regularly review active, high-charge customers with unresolved complaints. Assign each customer to a support or retention representative, record the issue, and track resolution.

Suggested monitoring measures: At-risk customers contacted, complaints resolved, subsequent churn rate, and recurring revenue retained.

Recommendation 2: Improve first-contact resolution and complaint handling

Set a goal to raise FCR above 78%. Review cases requiring repeat contact, remaining unresolved, or taking unusually long to close. Improve staff guidance, escalation processes, and customer communication.

Suggested monitoring measures: FCR, average resolution time, unresolved complaint count, and churn among customers with unresolved complaints.

Recommendation 3: Develop segment-specific retention strategies

Investigate churn by segment and tenure, starting with Enterprise customers because they have the highest number of churned customers in the current analysis. Compare both churn counts and churn rates before allocating resources.

Suggested monitoring measures: Segment-level churn rate, retention rate, revenue at risk by segment, and customer response to retention actions.

Recommendation 4: Review retention campaign effectiveness

Assess campaign outcomes alongside customer status and recurring revenue. Compare campaign costs with the value of customers retained where data is available. Do not assume a campaign caused retention unless the analysis supports that conclusion.

Suggested monitoring measures: Campaign response, conversion outcomes, campaign spending, and subsequent retention of contacted customers.

Recommendation 5: Establish a regular management review

Use the five-page Power BI dashboard to review churn, retention, revenue at risk, MRR, customer segments, support performance, regional network quality, and campaign outcomes. Investigate material changes before deciding on corrective action.

Suggested monitoring measures: Churn rate, retention rate, MRR, revenue at risk, FCR, average resolution time, and segment-level churn.

6. Conclusion

NexaTel retains 81.55% of its customers, but an 18.45% churn rate and an estimated ■2.40 million in monthly revenue associated with churned customers show that retention deserves management attention. The analysis identifies customer support, unresolved complaints, and differences between customer segments as important areas for action. NexaTel should begin with proactive outreach to high-value at-risk customers, improve complaint resolution and FCR, and develop retention strategies tailored to customer segments. Management should monitor results using consistent KPI definitions and regular dashboard reviews.

Reporting Note

Note: Figures in this report are taken from the project's calculated KPIs and Power BI analysis. Customer Lifetime Value was calculated using a simplified ARPU × customer lifetime approach and is not gross-margin-adjusted CLV. Revenue at risk represents monthly charges associated with churned customers, not a confirmed forecast of future losses.